

SENATE BILL 1362

By Watson

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 3, Part 31, relative to the artificial
intelligence advisory council.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-3-3103(2), is amended by deleting the subdivision and substituting instead:

(2) "Artificial intelligence" or "AI" mean a machine-based system that can, for a given set of human-defined objectives, make predictions, recommendations, or decisions that influence real or virtual environments. For purposes of this part, an artificial intelligence system uses machine and human-based inputs to:

(A) Perceive real and virtual environments;

(B) Abstract such perceptions into models through analysis in an automated manner; and

(C) Use model inference to formulate options for information or action.

SECTION 2. Tennessee Code Annotated, Section 4-3-3104(b), is amended by deleting "twenty-four (24)" and substituting "at least twenty-four (24) but not more than twenty-seven (27)", and by adding the following as a new subdivision (17):

(17) Two (2) or three (3) nonvoting member experts, appointed pursuant to subdivision (c)(6).

SECTION 3. Tennessee Code Annotated, Section 4-3-3104(c), is amended by adding the following as new subdivisions:

(5) At least two (2) members appointed by the governor under subdivision (c)(14) must have demonstrated experience in artificial intelligence research or development, including in academia, private industry, or technology policy.

(6) The joint chairs may invite additional AI private sector specialists or academic experts to serve as nonvoting, advisory members, or to participate in subcommittees, at the request of any member; provided, however, that the council does not exceed twenty-seven (27) members. The council may invite to participate or present before the council as many experts, entities, or individuals for testimony as the joint chairs may require and approve.

(7) The joint chairs shall administer meetings and operations of the council in accordance with the quorum requirements, voting procedures, and all other duties as required by state law regarding advisory councils, as well as the charter of the Tennessee artificial intelligence advisory council.

SECTION 4. Tennessee Code Annotated, Section 4-3-3105(c)(4), is amended by adding the following subdivisions:

(A) As part of its recommended action plan, the advisory council shall identify best practices for data privacy and security for state agencies; and

(B) When recommending best practices for AI data handling, privacy, and security, the advisory council shall reference and comply with the requirements established in the enterprise artificial intelligence policy, or any such policy amended thereto, as promulgated by the department of finance and administration, or a subsequent state agency with jurisdiction over subject matters pertaining to the handling of state information and data;

SECTION 5. Tennessee Code Annotated, Section 4-3-3105, is amended by adding the following as a new subsection:

(e)

(1) Not later than December 31, 2025, and by December 31 of each year thereafter, the advisory council shall, in consultation with relevant state agencies, compile an inventory of existing federal and state laws, regulations, and executive orders that affect the development or use of artificial intelligence in this state.

(2) The inventory compiled under this subsection (e) must:

(A) Identify any potential overlaps, conflicts, or gaps that may create barriers to AI innovation;

(B) Suggest revisions or clarifications needed to harmonize AI-related laws and reduce unnecessary compliance burdens; and

(C) Evaluate how proposed or existing regulations align with federal directives and recognized industry frameworks to ensure consistency and predictability.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.